SL No.116

NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH
COURT HALL NO: II

Special Bench (Video Conference)

CORAM: HON'BLE BHASKARA PANTULA MOHAN,–MEMBER (J)
CORAM: HON'BLE DR. BINOD KUMAR SINHA- MEMBER (T)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, HYDERABAD BENCH, HELD ON 06.05.2022 AT 02:00 PM THROUGH VIDEO CONFERENCE

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	Company Appeal/4/2022 in CP (CAA)/47/2021
NAME OF THE COMPANY	Danlaw Electronics Assembly (Transferor Co.) & Danlaw Technology India Ltd (Transferee Co.)
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	230

ORDER

Company Appeal 4/2022 in CP (CAA)/47/2021 filed for reconvening of the meeting has been allowed. Orders passed vide separate sheets.

MEMBER (T) **MEMBER (J)**

Syamala

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH, HYDERABAD

IA No. 04 OF 2022
In
CP (CAA) No. 47/230/HDB/2021
Under Rule 11 of NCLT Rules, 2016

In the matter of Danlaw Technologies India Limited

Danlaw Technologies India Limited,
Plot No.43, Sagar Society,
Road No.2, Banjara Hills,
Hyderabad - 500034,
Telangana, India.

... Applicant /Transferee Company

Date of order: 06.05.2022

Coram: Shri Bhaskara Pantula Mohan, Member Judicial
Dr. Binod Kumar Sinha, Member Technical

Parties/Counsels Present:

For the Applicant : Ms. Akshita Surana, PCS

[Per: Bench]

ORDER

1. Under consideration is an Application filed under Rule 11 of NCLT Rules, 2016, inter-alia seeking to re-direct the meeting of the Equity Shareholders of the Applicant/ Transferee Company be convened and consequently pass the following directions:-

   a) The meeting of the Equity Shareholders of the Applicant / Transferee Company to be held for consideration of proposed Scheme of Amalgamation on such date, time and venue as this Hon'ble Tribunal may deem fit.

   b) That the aforesaid meeting may be held in a virtual mode through video conferencing.

c) The quorum of the aforesaid meeting be fixed as per the provisions of the Companies Act, 2013.

d) Re - Appoint Mr. Sachin Sharma as a Chairperson and Ms. Sumathi G as a Scrutinizer for the meeting of the Equity Shareholders of the Applicant / Transferee Company and to fix the terms of their appointment including remuneration.

e) Allow the voting by the Shareholders, in person or by proxy or by e-voting.

f) Direct that the publication of notice of the meeting of the Equity Shareholders of the Applicant / Transferee Company be carried out in Nava Telangana (Telugu Daily) and Business Standard (English Daily) Hyderabad editions.

g) Direct the Applicant / Transferee Company to serve the notice of the meeting on the Equity Shareholders of the Applicant / Transferee Company and on the following authorities either by speed post or registered post or by courier or by e-mail or by hand delivery or by combination of any of the aforesaid modes:

(i) The Central Government i.e. Regional Director (SER), 3rd Floor, Corporate Bhavan, Ministry of Corporate Affairs, Government of India, Bandlaguda, Nagole, Hyderabad – 500068, Telangana.

(ii) The Registrar of Companies, for the State of Telangana and Andhra Pradesh, 2ndFloor, Corporate Bhavan, Ministry of Corporate Affairs, Government of India, Bandlaguda, Nagole, Hyderabad – 500068, Telangana.

(iii) The Official Liquidator, Hyderabad, 1st Floor, Corporate Bhavan, Ministry of Corporate Affairs, Government of India, Bandlaguda, Nagole, Hyderabad – 500068, Telangana.

(iv) The Income Tax Department.

(v) The Stock Exchanges.

(vi) The SEBI.

(vii) Such other authorities as may be deemed necessary by this Hon'ble Tribunal at its discretion as contemplated under sub-

section 5 of section 230 of the Companies Act, 2013 read with Rule 8 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

2. Brief facts of the case as stated by the Applicant are as under:-

a. That the Applicant had filed a joint company Application vide C.A (CAA) No. 34/230/HDB/2021 under Section 230-232 of the Companies Act, 2013 and the said company Application was allowed by this Adjudicating Authority on 29.07.2021 r/w corrigendum order dated 05.08.2021 and was pleased to dispense with the requirement of convening of the meeting of the (i) Equity shareholders of the Transferor Company and directed for convening of the meetings of the secured and unsecured creditors on 18.09.2021 and also directed for convening the meetings of the Equity Shareholders and Unsecured Creditors of the Transferee Company on 18.09.2021 through Video Conferencing.

b. That the said meetings were duly convened and the reports of the respective chairpersons were duly filed with this Tribunal on 25.09.2021.

c. That thereafter, the Petitioner Companies had filed a joint Company Petition No. CP(CAA) No. 47/230/HDB/2021.

d. Thereafter, the Applicant company/ Transferee Company had received a letter dated 14.01.202 from BSE Limited stating as under:

"is observed that the Company has not disclosed the details of the unlisted Company, i.e., Danlaw Electronics Assembly Limited, in the format prescribed for abridged prospectus as specified in Para I(A)(3)(a) of Annexure I to circular date March 10, 2017 issued by the Securities and Exchange Board of Inia ("SEBI").

e. That vide letter dated 14.01.2022, BSE Ltd has held as under:-

"...

a) Keep on hold the proceedings before the Hon'ble National Company Law Tribunal, Hyderabad Bench

b) Comply with the above-mentioned provisions of the SEB circular by issuing fresh notice to the shareholders after incorporating all the disclosures including information about unlisted companies involved in the scheme in the format of abridged prospectus and take fresh voting on the scheme before the final order is passed in the matter."

f. That the Applicant Company had prepared the abridged prospectus of the unlisted entity duly certified by the First Overseas Capital Limited a SEBI Registered Merchant Banker vide its certificate dated 14.08.2021 as per the Circular dated March 10, 2017, issued by the Securities and Exchange Board of India, due to inadvertence and oversight abridged prospectus of the unlisted entity was not enclosed alongwith the notice of the Tribunal Convene meeting of the Equity Shareholders of the Applicant Company.

g. That the said errors were not deliberate, intentional or caused with an ulterior motive, the said errors were completely attributable to oversight of the Applicant.

h. That no prejudice would be caused to anyone if the instant Application is allowed, however, if the instant application is not allowed, the Applicant Company will be put to severe hardship and grave consequences.

Reiterating above, PCS for the Applicant prayed to allow the Application as prayed for.

3. Heard. Perused the record.

4. Considering the facts and circumstances and having satisfied with the reason as stated in the Application, this Tribunal hereby directs for re-convening of the meetings of the shareholders of the Transferee Company as under:-

a) Mr. Basava Raju, Advocate (Mobile No. 98494 74600) is appointed as the Chairman of the above meeting of the Equity Shareholders of the Transferee Company and in respect of any adjournment thereof.

b) Mr. Nethi Mallikarjuna Setty, Chartered Accountant (Mobile No. 99636 06444) is appointed as the Scrutinizer for the above meeting of the Equity Shareholders of the Transferee Company and in respect of any adjournment thereof.

c) The quorum for the above meeting is fixed as 30 person personally present in the meeting or though proxy.

d) The remuneration of Chairman/Chairperson is fixed at Rs.1,00,000/- (Rupees One Lakh only) for each meeting and remuneration of the scrutinizer is fixed at Rs.75,000/- (Rupees Seventy Five Thousand only) for each meeting.

e) The meeting of the Equity Shareholders of the Transferee Company will be held on 22.06.2022 at 11:00 AM through Video Conferencing (VC)/Other Audio Visual Means (OAVM) for the purpose of considering the scheme.

f) At last one month before 22.06.2022 i.e., the date of the aforesaid meetings, an advertisement about convening of the said meetings, indicating the day, date, place and time, as aforesaid, shall be published in Business Standard (in English) and in Nava Telangana (in Telugu). The publication shall indicate the time within which copies of scheme shall be made available to the concerned persons free of charge from the registered office of the 2nd Applicant/Transferee Company. The publication shall also indicate that the statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 of the Act and the prescribed form of proxy can be obtained free of charge at the registered office of the Transferee Company or at the office of its Counsel i.e. Ms. Akshita Surana, Company Secretary, 3-5-141/e/1,302, Rukmini Apartment, Eden Bagh, Hyderabad –

500001, Telangana, , in accordance with second proviso to sub-section (3) of Section 230 and Rule 7 of the Companies (CAA) Rules, 2016.

g) The Chairman/Chairperson appointed for the aforesaid meetings shall issue the advertisements and send out the notices of the meeting referred to above. The Chairman/Chairperson is free to avail the services of the Transferee Company or any agency for carrying out the aforesaid directions. The Chairman/Chairperson shall have all the powers under the Articles of Association of the Resulting Company and also under the Rules in relation to the conduct of the meeting, including for deciding any procedural questions that may arise at the meeting or adjournment(s) to the aforesaid scheme or resolution, if any, proposed at the aforesaid meeting by any person(s) and to ascertain the decision of the sense of the meeting by ballot/polling paper at the venue of the meeting.

h) Voting by proxy/authorized representatives is permitted provided that the proxy in the prescribed form/authorization duly signed by the person entitled to attend the vote at the aforesaid meeting is filed with the Transferee Company at the Registered Office i.e. Plot No.43, Sagar Society, Road No.2, Banjara Hills, Hyderabad - 500034, Telangana, India, not later than 48 hours before the meeting vide Rule 10 of the Companies (CAA) Rules, 2016 read with Section 105 of the Act.

i) The Chairman/Chairperson to file an Affidavit not less than 7 (seven) days before the date fixed for the holding of the meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

j) It is further ordered that the Chairman/Chairperson shall report to this Tribunal on the result of the meeting in Form No.CAA-4,

duly verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 within seven working days.

k) In compliance of sub section (5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, all the applicant companies shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the scheme of Arrangement, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region, Ministry of Corporate Affairs; (b) the Registrar of Companies, Telangana; (c) the Income Tax Authorities and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

5. Since the meetings are allowed to be reconvened on account of queries received from BSE with regard to missing information in the abridged prospectus, revised documents as voted upon during the reconvened meetings shall also be submitted along with the results of the meeting.
6. With the above, this Application stands disposed of.
7. Registry is directed to list the main CP on 30.06.2022

Dr. Binod Kumar Sinha
Member Technical

Bhaskara Pantula Mohan
Member Judicial

Santi/SKRathi